

# Financial Statement Analysis

Winter 2026

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## DESCRIPTION AND OBJECTIVES

Companies communicate with stakeholders through their financial statements. The objective of this course is to teach students how to read and use financial statements to understand firms' current and past performance, to forecast their future profitability, and to estimate their value.

To accomplish this objective, the course will provide:

- Experience and tools for reading and using financial statements to make business and investment decisions;
- A structured approach to measure intrinsic value using accounting numbers;
- An appreciation for the value and limitations of financial statement analysis in specific contexts.

## MATERIALS

- Equity Valuation and Analysis, by Russell Lundholm and Richard Sloan, 6<sup>th</sup> edition. Paperback available on Amazon.
- Assignments and additional required reading materials will be posted on Canvas.

## SCHEDULE

**Week 1:** Introduction to the course. Corporate objectives, strategy, and competitive environment

**Week 2:** Profitability and ratio analysis

**Week 3:** Profitability in the context of the business model. Analysis of financial ratios

**Week 4:** Advanced DuPont decomposition. Assessing risk from financial statements

**Week 5:** Midterm.

**Week 6:** Financial reporting risk.

**Week 7:** Financial modeling. A financial forecast model

**Week 8:** Valuation methods

**Week 9:** Valuing a business. Residual income model.

**Week 10:** Group project presentations

## ASSIGNMENTS AND DELIVERABLES

### Reading Assignments

Instructions will be posted weekly on Canvas.

### Class Engagement

I expect students to attend class and be prepared to participate. There are a number of ways for you to engage: answer (and ask) questions in class. Student-led discussions of the cases and reading materials are an integral part of this course.

Excellent participation means that you have been on time to all classes, have routinely volunteered good comments indicating that you have prepared for the class, and have answered questions when the opportunity arises. The class's overall learning experience has improved because of your comments.

Good participation means that you have been on time to class, have occasionally volunteered comments, and have sometimes answered questions posed to the class.

Poor participation means that you have missed noticeable amounts of class time, or have had little or nothing to say. You come in late, leave during class, or generally disrupt the class.

### Homework

There are seven case assignments worth 5 points each. The assignments are to be submitted *electronically on Canvas before* the beginning of class on the due date given below. Each assignment will specify whether it is to be completed individually or in teams of up to 4. The assignments are intended to provide you with practice at what I think will be most useful without “grade pressure,” and to prepare you for class discussions. If your work reflects a strong effort, you will receive full credit. If you do not complete the assignment on time, you will receive no credit. The assignments will not be returned to you; however, the in-class discussions will provide you with feedback on the solution.

**Homework is due at 11:59 p.m. the day before class,** the week after it is assigned. **I will drop the lowest score.**

### Exams

The mid-quarter exam will take ~2 hours and will be held *in class* in **Week 5**.

The exam is independent. You will find it helpful to bring a calculator. I do not return exams, but students can arrange a time to come to my office to go over them.

### Final Project

The final project involves valuing a publicly traded company. Specific instructions and examples will be provided in Week 6.

### GRADING

| Assignments      | Percentage |
|------------------|------------|
| Homework         | 15         |
| Class Engagement | 15         |
| Mid-quarter Exam | 30         |
| Final Project    | 40         |
| Total            | 100        |

### COURSE POLICIES

My office hours are by appointment and I will certainly make as much time available as you need. Just send me an email to set an appointment.

### ACADEMIC INTEGRITY

The integrity of scholarship is essential to an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and protect the validity of the University's intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Academic Integrity Policy can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

The honor code applies to everything you submit for this class.

### STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or [osd@ucsd.edu](mailto:osd@ucsd.edu).

*\* This syllabus is subject to change*